

last longer because optimism is fed by slowly rising emotions such as hope and greed, which, because they are tempered by caution, can reach maximum intensity only over a long period of time and fulfillment only after prolonged effort. Busts are swifter because pessimism is fed by fast-flaming emotions such as fear and anger, which can be realized in a flash of destructive action. According to our Elliott Wave clock, the long, spiraling, self-reinforcing expansion of the past two centuries has finally slowed enough to reach a point of stasis, and from a point of stasis, it can only reverse the process and start a spiral in the other direction.

The late A. Hamilton Bolton was well aware of the risks associated with excessive credit. His studies of how credit relates to depressions were summarized in a personal letter to Charles Collins in 1957, as follows:

In reading a history of major depressions in the U.S. from 1830 on, I was impressed with the following:

(a) All were set off by a deflation of excess credit. This was the one factor in common.

(b) Sometimes the excess-of-credit situation seemed to last years before the bubble broke.

(c) Some outside event, such as a major failure, brought the thing to a head, but the signs were visible many months, and in some cases years, in advance.

(d) None was ever quite like the last, so that the public was always fooled thereby.

(e) Some panics occurred under great government surpluses of revenue (1837, for instance) and some under great government deficits.

(f) Credit is credit, whether non-self-liquidating or self-liquidating.*

(g) Deflation of non-self-liquidating credit usually produces the greater slumps.

*[This term may mean collateralized, but he gives no definition.]

Major deflations are ultimately extremely destructive, and the next one should be no exception. That we are in the midst (and apparently near the end) of the greatest debt buildup in world history suggests that the resulting deflation and depression will be correspondingly severe. Against that backdrop, the Elliott Wave outlook for the deepest depression in two centuries hardly appears radical.